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Guidelines on Applying the Personal Information Protection Act to Foreign business operators

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Personal Information Protection Commission

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I Background

As global online services thrive and the number of foreign business operators operating in the Republic of Korea (**"Korea"**) increases[1], the personal information of Data Subjects in Korea (**"Korean Data Subjects"**)[2] is widely processed outside Korea, and the number of cases of infringement of Korean Data Subjects by foreign business operators is increasing.

However, it is not always clear how foreign business operators need to deal with infringement of personal information of Korean Data Subjects under Korea's Personal Information Protection Act (**"PIPA"**) because it does not explicitly set rules on its applicability to the foreign business operators or their conduct. Even where it is applicable, it does not specify how it should be applied to the particular circumstances of the foreign business operators.

Actual issues arising include investigating and enforcing against foreign business operators that infringe on personal information of Korean Data Subjects and applying the PIPA to the infringement of privacy of Korean Data Subjects in the course of using global services that do not support the Korean language.

By publishing these guidelines, the Personal Information Protection Commission (**"PIPC"**) intends to provide principles and criteria for applying the PIPA to global services and transparency to the application criteria of the PIPA to ensure foreign business operators comply with applicable legal requirements and protect the Korean Data Subject's self-determination right to personal information.

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1) According to the reports filed at the National Tax Service, the number of overseas companies and their revenue have increased vastly from KRW 0.6 trillion by 66 companies in 2016 to KRW 3.9 trillion by 209 companies in 2021. The PIPC imposed penalties amounting to KRW 113.3 billion on global big tech companies since August 2020.

2) This means data subjects who either reside or use goods or services in Korea.

II Principles

When a foreign business operator provides goods or services globally, or processes personal information overseas, thereby substantially affecting the Korean Data Subjects, the foreign business operator may be subject to the PIPA.

The applicability of the PIPA to such foreign business operators will be determined based on the general principles of the applicability of the Korean law, as well as the specific provisions of the PIPA.

1 Application of the Personal Information Protection Act

In principle, the PIPA may be applicable where a foreign business operator provides goods or services globally, or processes personal information of Korean Data Subjects or Korean nationals overseas, or processes personal information within the Korean territory.

The purpose of the PIPA[3] is to protect the rights and freedom of an individual by governing matters related to processing and protecting personal information, and further realizing an individual's dignity and value.

Accordingly, the PIPA stipulates the principles of personal information protection, how to process and safely manage personal information, and the obligations of the personal information controller, such as ensuring the rights of data subjects.

Upon a close inspection of the provisions of the PIPA, it defines the personal information controller as a public institution, legal person, organization, or an

3) Following the advancement of the information society and the economic value of individuals' personal information, the collection and use of personal information is becoming universal throughout society. The purpose of the PIPA is to stipulate the principles for processing personal information in line with international standards, protect the people's privacy, and ensure the rights and interests of the people in their personal information.

individual that processes personal information directly or indirectly to operate the personal information files as part of its work. Such a definition does not limit its scope and applicability to Korean nationals or legal persons within Korea.

Further, it defines personal information, which is subject to protection, as 'information relating to a living individual' and data subject as 'an individual who is identifiable through the information processed and is the subject of that information', which also do not limit their scopes to Korean nationals or personal information of the Korean Data Subjects[4].

This means the PIPA may be applicable not only where a Korean legal person, organization, or individual processes personal information of Korean nationals or the Korean Data Subjects within Korean territory, but also where (1) an overseas legal person, organization, or individual processes personal information of Korean nationals or Korean Data Subjects inside or outside of the Korean territory, and (2) a Korean or foreign legal person, organization, or individuals processes personal information of foreign nationals or foreign data subjects inside the Korean territory.

However, in a global society where information is exchanged across borders, extending the scope of the PIPA too far is not ideal, as this may conflict with the principles of sovereign equality and non-interference in internal affairs, which are principles of international law. Also, overly applying the PIPA may lead to ineffectiveness in applying the law, such as the lack of enforcement power.

The PIPC will determine the applicability of the PIPA considering (1) whether the foreign business operator provides goods or services to the Korean Data Subjects, (2) the impact of the foreign business operators' data processing on Korean nationals and the Korean Data Subjects, and (3) whether the foreign business operator's place of business is located in Korea, together with the general principles of international law, pursuant to which Korean laws are applicable to foreign business operators.

4) Page 16 of the Commentary on the Guidelines and Notices on the PIPA (Personal Information Protection Commission, 2020.12)

Reference Relevant Articles in the PIPA

Article 1 (Purpose) The purpose of this Act is to protect the freedom and rights of individuals, and further, to realize the dignity and value of the individuals, by prescribing the processing and protection of personal information.

Article 2 (Definitions) The terms used in this Act are defined as follows:

1. The term "personal information" means any of the following information relating to a living individual:
   (a) Information that identifies a particular individual by his or her full name, resident registration number, pictures, etc.;
   (b) Information which, even if it by itself does not uniquely identify an individual, may be easily combined with other information to uniquely identify an individual. In such cases, whether or not there is ease of combination shall be determined by reasonably considering the time, cost, technology, etc. used to identify the individual such as likelihood that the other information can be procured;
3. The term "data subject" means an individual who is identifiable through the information processed and is the subject of that information;
5. The term "personal information controller" means a public institution, legal person, organization, individual, etc. that processes personal information directly or indirectly to operate the personal information files as part of its work;

2 Application of Legislations of the Republic of Korea

In principle, Korean laws are applicable to any acts that occur with the Korean territory or are committed by a Korean national. Especially, they are applicable to any acts that infringe on the interest of Korea as a nation or a Korean national, regardless of the nationality of the actor or the place where the action took place.

In fact, the Korean government is actively investigating and imposing administrative dispositions on matters which have any 'direct, practical impact' on domestic orders, e.g., where an act taken by a foreign business operator outside of the Korean territory infringes the right of a Korean Data Subject.

Reference **Examples of Administrative Dispositions by Korean Government on Foreign business operators for Violating Korean Laws**

■ **Graphite electrode rod cartel** (The Korea Fair Trade Commission, Case number 2002-077, 4 April 2002)

- The KFTC imposed a total of KRW 11.2 billion in fines and corrective orders on six manufacturers located in the United States, the United Kingdom and Germany for participating in an international cartel of graphite electrode rods that affected the domestic market, although there was no provision to regulate overseas conduct.

■ **Investigation of overseas map service provider** (Decision by the Korea Communications Commission, Case Number 2014-4-27, 28 January 2014)

- The KCC imposed a total fine of KRW 212.3 million, in addition to a corrective order, on a foreign business operator that collected unencrypted personal information via Wi-Fi while photographing domestic areas to provide map services.

■ **Investigation of the unauthorized collection of personal information by a caller ID App** (Decision by the Korea Communications Commission, Case Number 2019-28-116, 12 June 2019)

- The KCC imposed a fine of KRW 900,000 and a penalty of KRW 10 million on a foreign business operator that collected personal information, such as contact information stored on a smartphone, through a caller ID app without the user's consent.

■ **Investigation of personal information leakage by a foreign business operator** (Majority decision by the Personal Information Protection Commission)

- The PIPC has imposed several fines and penalties on foreign business operators that leaked personal information for breaches of security measures and obligations to notify and report the leak (5 foreign business operators since the establishment of the PIPC).

■ **Investigation of consent violations by online advertising platforms** (Decision by the Personal Information Protection Commission, Case Number 2022-014-104, 31 August 2022)

- The PIPC issued a corrective order and imposed a fine of approximately KRW 100 billion on foreign business operators that collected behavioural information from third parties without the users' consent and used it for personalised advertising.

Korean courts also acknowledge that Korean law may apply to foreign business operators despite the lack of relevant provisions, absent specific provisions that limit the scope of application to Korean business operators, considering the purposes of the law and the impacts of the violation within the country.

Reference **Supreme Court ruling on foreign business operators violating Korean laws**

■ **Supreme Court ruling on 23 March 2006, 2003Du11124**

• The Monopoly Regulation of Fair Trade Act is applicable to the extent that an agreement affects the Korean domestic market, where a foreign business operator has entered into an agreement with another company to restrict competition and such agreement covers the market of Korea, and thereby the agreement has the impact on the Korean market. A few things must be considered to reach to this conclusion, such as the fact that **the purpose of the Monopoly Regulation and Fair Trade Act** is to promote fair and free competition by regulating unfair cartel conduct of businesses, thereby encouraging creative business activities, protecting consumers, and promoting the balanced development of the national economy **(Article 1)**, the fact that the Act defines a business operator which is a subject of the act of unfair cartel conduct as an entity that engages in manufacturing, service or other business, **without limiting the definition to domestic business operator (Article 2)**, and the fact that **it is necessary to subject foreign business operators to the Act in order to achieve the purpose of the Act where the foreign business operator's unfair cartel conduct in an overseas country has an impact on the domestic market of Korea.**

For reference, the Korean courts have ruled that even if the Korean laws are not the governing law, Korean laws may still be applicable depending on the purpose and intent of the provisions embodying the constitutional right to self-determination of personal information, the function and role of each provision in protecting personal information, and the possible sanctions to be imposed in case of violation.

Reference The Compulsory nature of personal information protection regulations

■ Supreme Court ruling on 13 April 2023, 2017da219232

• Even if parties to the consumer contract choose the law of a country other than the consumer's place of residence as the governing law, the compulsory regulations of the consumer's place of residence are not excluded from being applied. Meanwhile, Articles 30(2) and 30(4) of the former Act on Promotion of Information and Communications Network Utilization and Information Protection (prior to its amendment by the Act numbered 16955 on 4 February 2020, hereinafter the "Former Network Act") ensure the rights of users of information and communications services to protect their personal information, which, as will be discussed later, embodies the constitutional right to self- determination of personal information. Given the purpose and intent of the Former Network Act, the function and role of each provision in protecting personal information, and the sanctions imposed in case of violation, the above regulations should reasonably be assumed compulsory.

Ⅲ Application Criteria

The PIPA may be applicable where a foreign business operator provides goods or services to the Korean Data Subjects, where the processing of personal information by a foreign business operator affects the Korean Data Subjects, or where the foreign business operator has a place of business in the territory of Korea.

1 Provision of Goods or Services to Data Subjects in the Republic of Korea

A foreign business operator must comply with the PIPA, provided that it provides goods or services to the Korean Data Subject.

Due to the nature of the Internet, it may be unclear whether a foreign business operator is providing goods or services to the Korean Data Subjects. A foreign business operator may provide goods or services to the Korean Data Subjects even without physical presence in Korea and it is unlikely that end users of such goods or services will explicitly identify themselves as a Korean Data Subject.

In such cases, comprehensive information, including the language, the currency and the form and manner used or supported to provide goods or services, should be considered to determine whether the goods or services are provided to Korean Data Subjects.

The PIPA applies to foreign business operators that provide goods or services to Korean Data Subjects.

A foreign business operator will be considered to be providing goods or services to the Korean Data Subjects if it explicitly states that it is providing goods or services to the Korean Data Subjects (case 1), operates a website and uses a Korean country domain (.kr) or a separate domain for Korea (such as ko-kr) in its internet address (case 2), launches services for Korea in an app store (case 3), or provides services only in Korean (case 4).

※ **Case 1** A foreign business operator will be deemed to provide goods or services to Korean Data Subject if it specifies South Korea as one of the supported countries and territories while providing services globally.

> • **Supported countries and territories**
>
> We're proud to be able to provide API access to many countries, regions, and territories, and are always adding more.
> Geographic diversity and broadly distributed benefits are very important to us and we are working hard to increase the number of locations we can provide safe access to. If your location does not currently support API access, please check back for updates at a later date.
> Here are the countries, regions, and territories we can currently support access from: (· · ·)
>
> • **South Korea**

※ **Case 2** If a foreign business operator provides global services using a separate domain for Korea in its Internet address, such as "ko-kr.xxx.com" or "www.xxx.com/ko-kr", it may be considered to be providing goods or services to the Korean Data Subjects.



※ **Case 3** If a foreign business operator develops an app service and releases it to a Korean app store, or releases it to a global app store and sets the default language as Korean, it may be deemed to be providing goods or services to Korean Data Subjects.



※ **Case 4** Even if a foreign business operator states that only the laws of a particular country apply to the provision of their service, it will be deemed to be providing goods or services to Korean Data Subjects as long as the services are provided in Korean. Accordingly, the PIPA will apply.

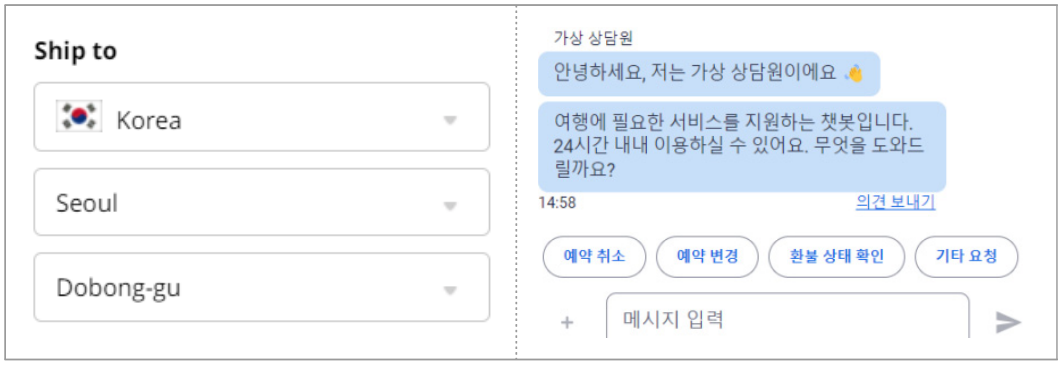


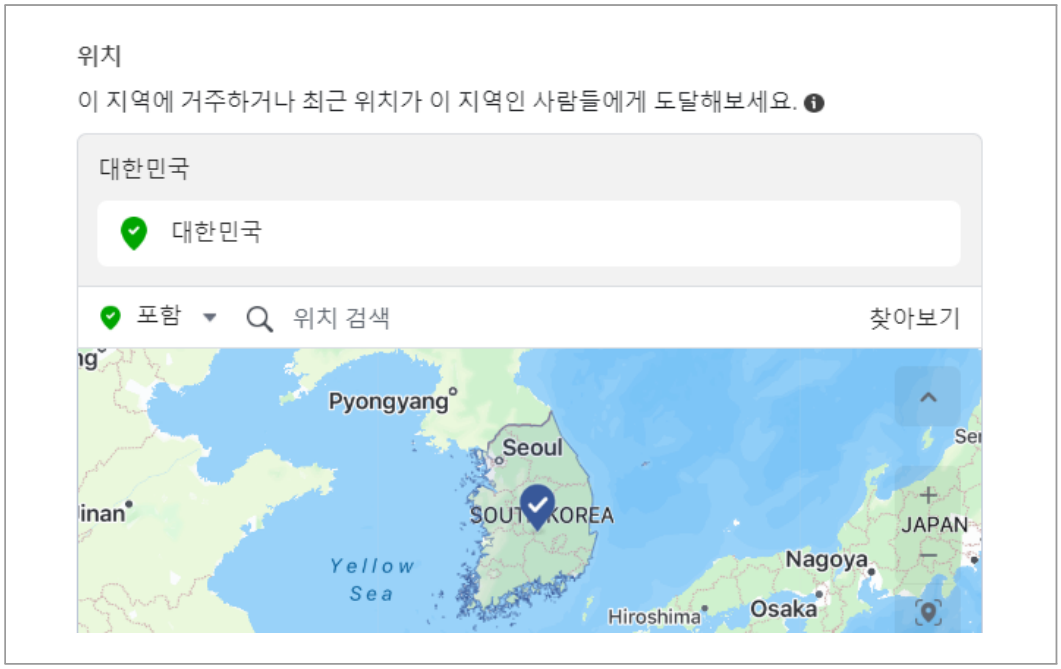
Furthermore, it may be determined that a foreign business operator provides goods or services to the Korean Data Subjects comprehensively considering the language and currency supported to provide the goods or services, and the form and manner in which the goods or services are provided.

For example, it will be more likely to be interpreted that a foreign business operator intends to provide goods or services to Korean Data Subject, if the foreign business operator could have known that the personal information of the Korean Data Subject will be collected because it enables the data subject to select the nationality as Korean or the address in Korea while providing goods or services, or if the foreign business operator allows the data subject to use its goods or services in Korean by installing a machine translation add-on to its service page, without the data subject having to actively use a translation machine on their own.



Additional circumstances may also make it more likely to be interpreted that a foreign business operator intends to provide goods or services to the Korean Data Subject, such as when the foreign business operator collects the data subject's address in Korea and delivers to that address while providing goods or services, provides customer support services via telephone or chat in Korean, or provides customer support contact dedicated to Korean Data Subjects, or advertises targeting Korean Data Subjects or provides an environment to do so.





On the other hand, unless there are other special circumstances, mere provision of goods or services to Korean nationals or Korean Data Subjects should not make the PIPA applicable, such as where (1) a Korean person simply uses goods or services provided offline in a foreign country by a foreign business operator; (case 5) (case 6) (2) a Korean Data Subject used goods or services provided online by a foreign business operator, even though the foreign business operator explicitly excluded Korea from its supported countries and territories and actually did not provide them to Korean Data Subjects (case 7)(case 8).

※ Case 5 If a foreign business operator provides hotel accommodation services overseas and collects and uses the personal information of Korean guests, the PIPA should not be applicable on that basis alone.

※ Case 6 The PIPA should not be applicable where a Korean employee's personal information is leaked due to hacking into the foreign business operator's system.

※ Case 7 The PIPA should not be applicable just because a Korean Data Subject used the online store, where a foreign business operator does not provide direct delivery service to Korea to deliver goods purchased by a Korean Data Subject, but delivered the goods to a delivery agency instead.

※ Case 8 It is unlikely that the PIPA is applicable where a foreign business operator provides goods or services online and explicitly restricts the use by Korean Data Subjects by blocking access from Korean IPs or, by not releasing the app on a Korean app store (in the case of app services), but Korean Data Subjects use it by bypassing the ban.

2 Impact of Data Processing on Data Subjects in the Republic of Korea

Regardless of whether goods or services are provided to individuals in Korea, the PIPA applies to foreign business operators if they process the personal information of Korean individuals or data subjects in a manner that has a direct and substantial impact on them.

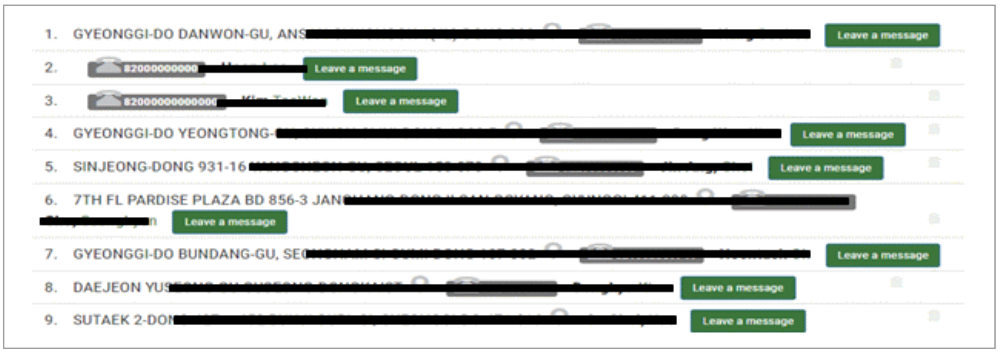
The impact of a foreign business operator's processing of personal information on Korean individuals or data subjects is assessed on a case-by-case basis to determine the applicability of the PIPA.

Even if foreign business operators do not provide goods or services to the Korean Data Subjects, they are still subject to the PIPA if they process the personal information of the Korean Data Subjects, and their actions have a direct and significant impact on them.

In some cases, foreign business operators process the personal information of

the Korean Data Subjects without directly offering goods or services to them. Since these actions can have a direct and significant impact on the Korean Data Subjects, and the effects and nature of these activities are foreseeable, such foreign business operators must comply with the PIPA. (Case 9)

※ **Case 9** Foreign business operators that collect the personal information of the Korean Data Subjects (e.g., names, addresses, and phone numbers) and then share this information publicly on a website or utilize it for service provision must comply with the requirements under the PIPA, such as establishing a legal basis for the processing of personal information. This is the case even if they do not directly offer services to these Korean Data Subjects.



When foreign business operators process the personal information of the Korean Data Subjects while offering goods or services to Korean business operators or acting as a person entrusting or entrusted by, Korean business operators for processing of Korean Data Subjects' personal information, such foreign business operators fall under the jurisdiction of the PIPA because of significant impact these activities may have on Korean Data Subjects. (Case 10) (Case 11)

※ **Case10** If a foreign business operator provides a chat API solution to a Korean business operator and processes the personal information of the Korean Data Subjects who use the services of that Korean business operator, the foreign business operator must comply with the PIPA.

※ **Case11** Even when a foreign business operator does not directly receive or access the personal information of the Korean Data Subjects, but instead

contracts another company to process such information and deliver the results back to them, the foreign business operator must comply with the requirements under the PIPA, including entering into an outsourcing agreement for processing personal information and overseeing personal information processing tasks.

The PIPA may also apply when a foreign business operator receives personal information of the Korean Data Subjects from a Korean business operator and processes such information for its own business purposes. (Case 12)

※ Case12 When a foreign business operator receives and processes the personal information of the Korean Data Subjects and related artificial intelligence learning data collected by the Korean business operator to develop an artificial intelligence model, the foreign business operator must comply with the PIPA.

3 Place of Business Located within the Republic of Korea

When a foreign business operator offers global services and has a business establishment in Korea that processes personal information, it must comply with the PIPA.

Meanwhile, if a foreign business operator offers goods or services globally and has established a business operator in Korea that identifies as the personal information controller of the Korean Data Subjects, the PIPA may apply to that Korean business operator.

However, if the processing does not pertain to the personal information of Korean individuals or data subjects, the applicability of the PIPA is determined by comprehensively considering the laws and regulations of the foreign business operator's respective country.

The PIPA applies to foreign business operators providing goods or services with a business presence in Korea. Such a presence may be in the form of corporations,

individual offices, liaison offices, and business establishments of people entrusted, among others.

However, if the processing of personal information in the provision of goods or services is unrelated to the activities of the business establishment in Korea, the applicability of the PIPA may vary. (Case 13)

※ Case13 If a foreign business operator maintains a sales organization in Korea for software sales and maintenance but separately operates an online shopping mall outside Korea without offering services to Korean Data Subjects, then the online shopping mall may not fall under the jurisdiction of the PIPA.

For reference, if a foreign business operator, providing goods or services globally, establishes a business in Korea and specifies such Korean business as the personal information controller for its Korean Data Subjects, (Case 14) such Korean business can be deemed to be the provider of the goods and services to the Korean Data Subjects and thus become subject to the PIPA.[5)]

※ Case14 If ABC, a global service provider, specifies its Korean entity as the personal information controller for the Korean Data Subjects, the Korean entity may fall under the jurisdiction of the PIPA.

〈Privacy Policy of ABC Korea〉

ABC Korea is responsible for managing the personal information of the members. Please note that ABC may ask for identity verification to ensure the safety of both the member and ABC before addressing any requests for help.

Since the PIPA defines a "data subject" as "an individual who is the subject of the processed information," it may include foreign individuals. Therefore, Korean entities that process the personal information of foreign data subjects may also be required to comply with the PIPA.

5) In cases where there are considerable circumstances, such as reporting revenue generated from Korean data subjects to the National Tax Service, that substantively indicate a Korean business operator is providing goods and services to Korean data subjects.

However, for foreign individuals located outside Korea, the processing of their personal information might be governed by the laws of the country that regulate the data subject. Consequently, applying the PIPA in such cases could lead to jurisdictional conflicts over the same activities between multiple countries.

In this scenario, if the processing of personal information does not affect domestic affairs in Korea, there may not be significant rationality or justification to apply the PIPA in addition to foreign personal information protection laws.

Therefore, based on the specifics of each case, the processing of personal information of foreign individuals outside of Korea may be primarily subject to the laws of other countries, taking precedence over the PIPA.

However, if the personal information of foreign data subjects being processed within Korea is infringed, necessitating action from the Korean government, (Case 15) (Case 16) or if a Korean or foreign business processes the personal information of foreign individuals located overseas in countries lacking adequate personal information protection laws, or where such laws exist but are unreasonably insufficient, necessitating protection under the PIPA, the application of the PIPA may be considered.

※ Case15 If a website operating within Korea discloses names, photos, and other personal details of foreign data subjects as a form of private sanctions for their actions, and if there is a request from the concerned country to take an action against this website, the application of the PIPA may be considered.

※ Case16 When a business operating in Korea, through a dating app service aimed at foreign data subjects, collects the personal information (e.g., facial images) of foreign data subjects and uses it for another service without lawful grounds under the PIPA or the laws of the relevant country, and if a report is filed regarding this issue, the application of the PIPA may be considered.

Ⅳ Matters to Observe when Applying the PIPA

Foreign business operators subject to the PIPA must comply with all regulations stipulated by the PIPA.

This section provides guidance on considerations for compliance with the PIPA, considering the characteristics of foreign business operators.

1 Notification and Reporting of Divulgence of Personal Information[6)]

The loss, theft, or divulgence (hereinafter referred to as "Divulgence") of personal information refers to instances where personal information becomes accessible by an unauthorized third party as a result of the personal information controller losing its control and oversight over such personal information without valid legal grounds or the personal information controller's voluntary will.

This includes scenarios such as when documents, portable storage devices, or laptops containing personal information are lost or stolen, leading to their exposure; when unauthorized individuals access personal information systems or work computers to view or transmit personal information externally; and when files, paper documents, or other storage media containing personal information inadvertently falls into the hands of unauthorized third parties.

This also includes situations where personal information is collected by a search engine and exposed on the Internet, or a file containing personal information is mistakenly posted on a homepage bulletin board and downloaded or viewed by an unauthorized third parties; where a user's personal information is exposed to another user due to a system error during login; and where emails containing personal information is mistakenly sent to unintended recipients.

6) For detailed information, please refer to the Personal Information Protection Commission's Personal Information Breach Response Manual (September 2023).

Upon discovering a divulgence of personal information, it is mandatory to inform the affected data subjects about the matters prescribed by the PIPA within 72 hours. If the divulgence involves the personal information of 1,000 individuals or more, includes sensitive or personally identifiable information, or results from unlawful external access, it must be reported to the PIPC or the Korea Internet & Security Agency("KISA") within 72 hours. The mere awareness that unauthorized third parties could have gained access to the personal information is considered sufficient recognition of the divulgence.

In the event of a divulgence of personal information in the connection with a foreign business operator's provision of goods or services to Korean Data Subjects, it can be concluded that the business operator became aware of the divulgence of Korean Data Subjects' personal information if the fact of the divulgence is confirmed and the business operator does not segregate personal information systems by country of data subjects. This is the case even if the full extent of the divulgence is not clearly determined. However, if the analysis confirms that the personal information of Korean Data Subjects has not been divulged within 72 hours, it may not be necessary to file a report.

Furthermore, if the discovery of personal information divulgence comes through internal checks, contact from hackers, or customer service inquiries, but without identifying the specifics of the divulged information (e.g., the type of personal information, the timing, and the circumstances), the fact of divulgence, the details confirmed up to that point, and other pertinent information to be shared with data subjects must be promptly reported and notified.

Divulgence reports can be filed through the Privacy Portal[7] or by completing a report form and submitting it via email (118@kisa.or.kr). It is also possible to delegate this task to a domestic representative.

In instances where reporting within 72 hours is infeasible due to natural disasters or other uncontrollable circumstances, the report should be made without delay once those circumstances are resolved. If the path of the personal information divulgence is identified and the divulged information has been retrieved or deleted, thereby significantly lowering the potential risks to the data subject's rights,

7) Privacy Portal (privacy.go.kr) → Corporate · Public Services → Reporting Divulgence

reporting may not be required. In such cases, it is necessary to prepare evidence to prove such facts.

For reference, if personal information is inadvertently sent by an employee to another unauthorized employee, it may not necessarily be considered a divulgence if the business operator can address this mistake by instructing the deletion of the email or implementing safety measures, thus maintaining control and management over the information. Additionally, even if there is a possibility that unauthorized individuals could have accessed the personal information system, making the personal information potentially known to them, it may not constitute divulgence if there is definitive evidence that no unauthorized third party has actually viewed or accessed the information.

< Article 34 and 40 of Presidential Decree of PIPA >

Article 34 (Notification and Reporting of Divulgence of Personal Information) ① A personal information controller shall notify data subjects of the following matters without delay when the personal information controller becomes aware of loss, theft, or divulgence (hereafter in this Article referred to as "divulgence, etc.") of personal information: Provided, That if the contact information of the data subject is unknown or if any other good cause exists, a measure may be taken in lieu of giving notice, as prescribed by Presidential Decree:

1. Particulars of divulgence, etc. of personal information;
2. When and how divulgence, etc. of personal is made;
3. Any information about how the data subjects can minimize the risk of damage from divulgence, etc.;
4. Countermeasures taken by the personal information controller and remedial procedure;
5. Help desk and contact points for the data subjects to report damage.

② A personal information controller shall prepare countermeasures to minimize the risk of damage in the case of divulgence, etc. of personal information and take necessary measures.

③ Upon becoming aware of divulgence, etc. of personal information, the personal information controller shall, without delay, file a report with the Protection Commission or a specialized institution designated by Presidential Decree with respect to the matters provided in the subparagraphs of paragraph (1), as prescribed by Presidential Decree in consideration of the types of personal information, the process and scale of divulgence, etc., and other factors. In such cases, the Protection Commission and the specialized institution designated by Presidential Decree may

provide technical assistance for the prevention of the spread of damage, recovery from damage, and other purposes.

④ Matters necessary for notifying divulgence, etc. under paragraph (1) and timing, methods, and procedures for reporting breach, etc. under paragraph (3) shall be prescribed by Presidential Decree.

Article 40 (Reporting on Divulgence of Personal Information) ① When a personal information controller becomes aware of divulgence, etc. of personal information in any of the following cases, the personal information controller shall, in writing, etc., file a report with the Protection Commission or a specialized institution prescribed in the former part of Article 34 (3) of the Act with regard to the matters provided in the subparagraphs of Article 34 (1) of the Act within 72 hours: Provided, That where it is impracticable to file a report within 72 hours due to a natural disaster or any other unavoidable cause, a report may be filed without delay after the relevant cause ceases to exist; and where the possibility of infringing on the rights and interests of data subjects is substantially reduced after the path of divulgence, etc. of personal information is confirmed and measures are taken such as the recovery and deletion of the relevant personal information, the personal information controller need not file a report thereon:

1. Where divulgence, etc. of personal information of at least 1,000 data subjects occurs;
2. Where divulgence, etc. of sensitive information or personally identifiable information occur;
3. Where divulgence, etc. of personal information occurs due to illegal external access to personal information processing systems or information technology equipment used by personal information handlers for processing personal information.

② Notwithstanding paragraph (1), where a personal information controller intends to file a report pursuant to paragraph (1) but fails to confirm the specific details of the matters provided in Article 34 (1) 1 or 2 of the Act, the personal information controller shall first file a report on divulgence, etc. of personal information, the details that have already been confirmed, and the matters specified in Article 34 (1) 3 through 5 of the Act in writing, etc., and shall notify the details further confirmed immediately upon confirmation.

③ "Specialized institution designated by Presidential Decree" in the former and latter parts of Article 34 (3) of the Act means the Korea Internet and Security Agency.

2 Disclosure of the Privacy Policy[8)]

The establishment and disclosure of the privacy policy are essential for enhancing the transparency of personal information processing and safeguarding the rights of data subjects. It is crucial that the privacy policy provides practical and direct support in exercising the rights of data subjects.

When foreign business operators establish and disclose a privacy policy for the goods or services they provide under the PIPA, it must be written in Korean to ensure that all Korean Data Subjects can easily understand matters related to the processing of their personal information. Additionally, the privacy policy should not merely be a translation of a privacy policy prepared under another country's law but be specifically formulated and disclosed in accordance with the requirements under the PIPA to improve the convenience of data subjects.

For example, if a third party other than the business operator itself processes personal information, this must be distinguished as either third-party provision or outsourcing and should not be collectively labeled as "Sharing." Also, it is recommended to use symbols or other means to indicate the key aspects of the privacy policy in an intuitive and easily understandable manner.

For reference, it is recommended to separately disclose matters related to the cross-border transfer of personal information from those concerning the third-party provision or outsourcing of personal information processing. However, if separating these disclosures leads to redundancy, it may actually be detrimental to the readability and convenience of the data subjects, it is acceptable to include information on third-party provision or outsourcing within the disclosures on cross-border transfers of personal information. In such a case, the information must be provided clearly and straightforwardly to ensure easy understanding by data subjects.

When it comes to goods or services provided uniformly worldwide, the personal information controller may vary from one country to another.

Therefore, the privacy policy should clearly state which entity is processing the personal information of Korean Data Subjects. Moreover, if the processing of

8) For detailed information on requirements and recommendations in preparing the privacy policy, please refer to the Personal Information Protection Commission's Guidelines for Preparing Privacy Policy (Scheduled April 2024).

Korean Data Subjects occurs outside Korea, the privacy policy must clearly state the fact that the personal information is being processed overseas, the specific country where personal information processing takes place, and the name of the business operator processing the personal information.

When disclosing the privacy policy on a website or the like, it is essential to label it clearly as "Privacy Policy" and use design elements like font size and color to distinguish it from other notices such as terms of use, ensuring that it is easily recognizable by data subjects.

Upon revising the privacy policy, the prior versions of the privacy policy should remain accessible so that data subjects can access them at any time. It is advisable to present the changes comparatively, highlighting the before and after to make it easy for data subjects to understand what has been changed.

In some instances, foreign business operators disclose a globally applicable privacy policy but omit specific details required by the PIPA, opting instead to disclose additional Korean-specific provisions on a separate page. It is advised that, wherever feasible, the privacy policy accessible to Korean Data Subjects consolidates all the requirements stipulated by the PIPA on a single web page.

For a privacy policy that directs data subjects to further details via links, it should not make it difficult for data subjects to access the information by requiring them to navigate through multiple links. It is crucial to regularly manage these links so that they connect to the designated pages, and the linked pages should be available in Korean.

For reference, the PIPA stipulates that the Personal Information Protection Commission can evaluate the adequacy, ease of understanding, and accessibility of the privacy policy. If the Personal Information Protection Commission determines that improvements are needed following its assessment, it has the authority to suggest improvements.

The subjects of evaluation are determined by comprehensively considering factors such as the type and revenue of the personal information controller, the nature and volume of processed personal information, the legal basis and methods of processing personal information, any instances of legal violations, and the characteristics of data subjects such as children and adolescents.

Reference **The criteria for selecting targets for evaluation of Privacy Policy[9)]**

① The sales of the previous year were 150 billion KRW or more, and as of the end of the previous year, the number of data subjects whose personal information was stored and managed for the previous 3 months averaged more than 1 million per day

② As of the end of the previous year, the average number of data subjects whose sensitive information or personally identifiable information are stored and managed for the previous 3 months will be more than 50,000 per day

③ The Privacy policy does not distinguish the items of personal information that can be processed without the consent of the data subject and the legal basis from the personal information that is processed with consent

④ There is a risk of personal information infringement due to processing personal information with a fully automated system (including a system applying artificial intelligence technology) or other processing methods using new technologies

⑤ In the last 3 years, personal information has been leaked more than 2 times, or has been imposed administrative fines or penalty surcharges by the PIPC

⑥ Operating information and communication services with children or youths under the age of 19 as the main users

< Article 30 and 31 of Presidential Decree of PIPA >

Article 30 (Establishment and Disclosure of Privacy Policy) ① A personal information controller shall establish a personal information processing policy including the following matters (hereinafter referred to as "Privacy Policy"). In such cases, public institutions shall establish the Privacy Policy for the personal information files to be registered pursuant to Article 32:

1. The purposes for which personal information is processed;
2. The period for processing and retaining personal information;
3. Provision of personal information to a third party (if applicable);

3-2. Procedures and methods for destroying personal information (if personal information shall be preserved according to the proviso of Article 21 (1), this shall include the basis of preservation and particulars of personal information to be preserved);

9) article 4 of Notification for the evaluation of Privacy Policy (Enforcement date 20, February, 2024)

3-3. The possibility of disclosure of sensitive information and the method of selecting non-disclosure under Article 23 (3) (if applicable);
4. Entrusting personal information processing (if applicable);
4-2. Matters relating to processing, etc. of pseudonymized information under Articles 28-2 and 28-3 (if applicable);
5. The rights and obligations of data subjects and legal representatives, and how to exercise such rights;
6. Contact information, such as the name of a privacy officer designated under Article 31 or the name, telephone number, etc. of the department which performs the work related to personal information protection and handles related grievances;
7. Installation and operation of an automatic collection tool for personal information, including Internet access data files, and the denial thereof (if applicable);
8. Other matters prescribed by Presidential Decree regarding the processing of personal information.

② Upon establishing or modifying the Privacy Policy, a personal information controller shall disclose the content so that data subjects may easily recognize it in such a way as prescribed by Presidential Decree.

③ Where there exist discrepancies between the Privacy Policy and the agreement executed by and between the personal information controller and data subjects, the terms that are beneficial to the data subjects shall prevail.

④ The Protection Commission may prepare the Privacy Policy Guidelines and encourage the personal information controllers to comply with such Guidelines.

Article 31 (Details of Privacy Policy and Methods for Disclosure Thereof) ① "Matters prescribed by Presidential Decree" in Article 30 (1) 8 of the Act means the following:

1. Particulars of personal information to be processed;
2. Where personal information is transferred outside the country pursuant to each subparagraph of Article 28-8 (1) of the Act, matters referred to in the subparagraphs of paragraph (2) of the same Article as the grounds for the transfer of personal information abroad;
3. Matters regarding measures to ensure the safety of personal information under Article 30;
4. In the case of directly collecting and processing the personal information of the domestic data subject abroad, the name of the country that processes the personal information.

② A personal information controller shall post continuously the Privacy Policy established or modified pursuant to Article 30 (2) of the Act on its website.

③ Where it is impossible to post the Privacy Policy on the website as prescribed in paragraph (2), the personal information controller shall make public the established or modified Privacy Policy in at least one of the following manners:

1. Posting at easily noticeable location of the personal information controller's workplace, etc.;
2. Publishing in the Official Gazette (only in cases the personal information controller is a public institution) or general daily newspaper, weekly newspaper, or online newspaper, as defined in subparagraphs 1 (a) and (c) and 2 of Article 2 of the Act on the Promotion of Newspapers circulating mainly over the City/Do where the personal information controller's workplace, etc. is located;
3. Publishing at a periodical, newsletter, PR magazine, or invoice to be published under the same title at least twice a year and distributed to data subjects on a continual basis;
4. Stipulating in an agreement, etc. for the supply of goods or services executed between the personal information controller and the data subjects and providing a copy of the same to the data subject.

3 Guarantee of Rights of Data Subjects [Access, Correction, Erasure, Suspension of Processing, etc.]

The PIPA requires personal information controllers to establish specific methods and procedures through which data subjects can request access to, correction and erasure of, and suspend processing of, their personal information, and withdraw their consent. Furthermore, it requires the controllers to make these publicly available for the data subjects to be aware of.

When personal information controllers establish and disclose such specific methods and procedures, the PIPA requires such methods and procedures to be no more difficult than those for the collection of the relevant personal information. As long as there is no justifiable reason, the PIPA also requires controllers to enable data subjects to request access to their data by the same means through which their personal information was collected. The controllers need to handle and respond to these requests from the data subjects in no more than ten (10) business days of Korea.

Hence, foreign business operators should prepare procedures for the Korean Data Subjects to easily exercise their rights, accurately guide such procedures in

the Korean language, and provide readily accessible means for them to exercise their rights such as e-mail or phone. If possible, the Korean Data Subjects should be able to do so through Internet websites or mobile applications.

Upon receiving one of those requests from the data subject, foreign business operators may deny such request in one of these cases: (i) special provisions exist in other statutes or it is unavoidable to observe obligations under statues or regulations; (ii) following the data subject's request may cause damage to the life or body of a third party, or unjustified infringement of property and other interests of any other person; (iii) it is impracticable to perform a contract as agreed upon with the data subject without processing the relevant personal information, and the data subject has not clearly expressed the desire to terminate the agreement. Foreign business operators, however, must notify the data subject in no more than ten (10) business days of Korea that his/her request has been denied and how an objection can be raised.

Once a domestic agent is designated, foreign business operators are required to smoothly and quickly handle complaints regarding the data subjects' rights by authorizing the domestic agent to respond to the data subjects' requests on behalf, or they can apply any other appropriate ways.

In addition, foreign business operators cannot automatically deny data subjects' request to access their personal information even in cases of statutes or regulations of other jurisdictions not allowing disclosure of requested information.

Foreign business operators need to review (i) whether the non-disclosure obligation based on the statutes or regulations of other jurisdictions is consistent with the Constitution and the laws of Korea including its content and purpose; (ii) whether the need to respect such obligations based on statutes and regulations significantly outweighs the need to protect personal information; (iii) whether they themselves substantially bear a non-disclosure obligation.

After the review, if there is a justifiable reason for non-disclosure, foreign business operators must notify the data subject the reason for restriction/denial by informing what the justifiable reason specifically is, and grant the data subject access to its personal information once the reason of the restriction/denial ceases to exist.

< Supreme Court decision regarding the denial to the data subject's request for accessing collected personal information >

■ Supreme Court ruling on 13 April 2023, 2017da219232

• Whether a provider of information and communications services who should observe other foreign statutes or regulations as well as those of the Republic of Korea has taken all necessary measures in accordance with Article 30(4) of the former Information and Communications Network Act should be determined after comprehensively taking into account the following matters: whether the non-disclosure obligation based on the corresponding foreign statutes or regulations is consistent with the details and purpose of the Constitution and law of the Republic of Korea; whether the need to respect such foreign statutes and regulations is remarkably superior to the need to protect personal information; and as the requirements for the non-disclosure required by the corresponding statutes and regulations are fulfilled with respect to any information that a user demands to peruse or provide, whether a provider of information and communications services should substantially bear a non-disclosure obligation. Moreover, examining in light of the purpose and purport of users' right to request for perusing and providing information in accordance with Article 30(2) of the former Information and Communications Network Act, by having users make a follow-up confirmation as to whether the corresponding information was provided according to due process and whether such information was used in accordance with the purpose of provision, having the users control any unlawful or unfair use of their personal information is reasonable. Therefore, where any justifiable ground is recognized to exist based on the aforementioned circumstances, a provider of information and communications services should notify the user of the reason for restriction or refusal by specifying such matters, and even if the provider provided any information for foreign investigation agencies on the grounds of national security, criminal investigation, etc., unless the collection of the above information is an obstacle to its purpose as the said ground has already ceased to exist, the provider should let the user peruse the fact that the corresponding information was provided or should inform the user of such fact.

< Article 35, 36, 37, and 38 of PIPA >

Article 35 (Access to Personal Information) (1) A data subject may request access to his or her own personal information, which is processed by a personal information controller, from the personal information controller.

(3) Upon receipt of a request for access filed under paragraphs (1) and (2), a personal information controller shall grant the data subject access to his or her own personal information within the period prescribed by Presidential Decree. In such cases, if there is good cause for not permitting access during such period, the personal information controller may postpone access after notifying the relevant data subject of the said ground and if the said ground ceases to exist, the data subject shall be permitted to access the personal information without delay.

(4) In any of the following cases, a personal information controller may limit or deny access after it notifies a data subject of the cause:

1. Where access is prohibited or limited by statutes;
2. Where access may cause damage to the life or body of a third party, or unjustified infringement of property and other interests of any other person;
3. Where a public institution has grave difficulties in performing any of the following work:
   (a) Imposition, collection or refund of taxes;
   (b) Evaluation of academic achievements or admission affairs at the schools of each level established under the Elementary and Secondary Education Act and the Higher Education Act, lifelong educational facilities established under the Lifelong Education Act, and other higher educational institutions established under other statutes;
   (c) Testing and qualification examination regarding academic competence, technical capability and employment;
   (d) Ongoing evaluation or decision-making in relation to compensation or grant assessment;
   (e) Ongoing audit and examination under other statutes.

(5) Matters necessary for the methods and procedures to file access requests, to limit access, to give notification, etc. pursuant to paragraphs (1) through (4) shall be prescribed by Presidential Decree.

Article 36 (Correction or Erasure of Personal Information) (1) A data subject who has accessed his or her personal information pursuant to Article 35 may request a correction or erasure of such personal information from the relevant personal information controller: Provided, That the erasure is not permitted where the said personal information shall be collected by other statutes or regulations.

(2) Upon receipt of a request by a data subject pursuant to paragraph (1), the personal information controller shall investigate the personal information in question without

delay; shall take measures necessary to correct or erase as requested by the data subject unless otherwise specifically provided by other statutes or regulations in relation to correction or erasure; and shall notify such data subject of the result.
(3) The personal information controller shall take measures not to recover or revive the personal information in case of erasure pursuant to paragraph (2).
(4) Where the request of a data subject falls under the proviso of paragraph (1), a personal information controller shall notify the data subject of the details thereof without delay.
(6) Matters necessary for the request of correction and erasure, notification method and procedure, etc. pursuant to paragraphs (1), (2) and (4) shall be prescribed by Presidential Decree.

Article 37 (Suspension of Processing of Personal Information) (1) A data subject may request the relevant personal information controller to suspend the processing of his or her personal information or may withdraw his or her consent to personal information processing. In such cases, if the personal information controller is a public institution, the data subject may request the institution to suspend the processing of his or her personal information contained in the personal information files to be registered pursuant to Article 32 or may withdraw his or her consent to personal information processing.
(2) Upon receipt of the request for suspension of processing under paragraph (1), the personal information controller shall, without delay, suspend processing of some or all of the personal information as requested by the data subject: Provided, That, where any of the following is applicable, the personal information controller may deny the request of such data subject:

1. Where special provisions exist in other statutes or it is unavoidable to observe obligations under statutes or regulations;
2. Where access may cause damage to the life or body of a third party, or unjustified infringement of property and other interests of any other person;
3. Where the public institution cannot perform its work as prescribed by any Act without processing the personal information in question;
4. Where it is impracticable to perform a contract such as the provision of services as agreed upon with the said data subject without processing the personal information in question, and the data subject has not clearly expressed the desire to terminate the agreement.

(3) A personal information controller shall, when a data subject withdraws his or her consent pursuant to paragraph (1), take necessary measures without delay, such as destroying collected personal information to prevent recovery and reproduction thereof: Provided, that in cases falling under any subparagraph of paragraph (2), a personal information controller need not take measures following the withdrawal of consent.

(4) When rejecting a request for suspension of processing pursuant to the proviso of paragraph (2) or failing to take measures following the withdrawal of consent pursuant to the proviso of paragraph (3), the personal information controller shall notify the data subject of the reason without delay.
(5) The personal information controller shall, without delay, take necessary measures including destruction of the relevant personal information when suspending the processing of personal information as requested by data subjects.
(6) Matters necessary for the methods and procedures to request the suspension of processing, to withdraw consent, to reject such request, and to give notification, etc. pursuant to paragraphs (1) through (5) shall be prescribed by Presidential Decree.

Article 38 (Methods and Procedures for Exercise of Rights) (1) A data subject may authorize his or her representative to file requests for access under Article 35, transmission under Article 35-2, rectification or erasure under Article 36, suspension of processing and withdrawal of consent under Article 37, and refusal and requests for explanation, etc. under Article 37-2 (hereinafter referred to as "request for access, etc.") by the methods and procedures prescribed by Presidential Decree, such as written documents.
(2) The legal representative of a child under 14 years of age may file a request for access, etc. to the personal information of the child with a personal information controller.
(3) A personal information controller may charge a person who files a request for access, etc. a fee and postage (only in cases of a request to mail the copies), as prescribed by Presidential Decree: Provided, that in cases of a request for transmission under Article 35-2 (2), the personal information controller may assess a fee, taking into account additional facilities necessary for transmission and other factors as well.
(4) A personal information controller shall prepare detailed methods and procedures to enable data subjects to file requests for access, etc., and disclose such methods and procedures so that the data subjects may become aware of them. In such cases, the methods and procedures for filing requests for access, etc. shall be no more difficult than the methods and procedures for the collection of the relevant personal information.
(5) A personal information controller shall prepare and provide necessary procedures for data subjects to raise objections regarding the denial of a request for access, etc. from such data subjects.

< Article 41, 43, and 44 of Presidential Decree of PIPA >

Article 41 (Procedures for Access to Personal Information) (1) A data subject who intends to request access to his or her own personal information processed by a personal information controller pursuant to Article 35 (1) of the Act shall submit a request, stating the information that he or she intends to access among the following information, in the manner and following the procedure determined by the personal information controller;

1. Particulars and substance of personal information;
2. The purpose of collecting and using personal information;
3. The period for retaining and using personal information;
4. Status of personal information provided to a third party;
5. The fact that the data subject has given consent to the processing of his or her personal information and the content thereof.

(2) To determine the manner and procedure for requesting access under paragraph (1), a personal information controller shall comply with the following to ensure that such manner and procedure are not more difficult than the manner and procedure that the personal information controller uses to collect the relevant personal information:

1. To provide the requested personal information in a data subject-friendly manner, such as in writing, by telephone or electronic mail, or via the Internet;
2. To allow data subjects to request access to their own personal information at least through the same window or in the same manner that the personal information controller uses to collect such personal information, unless good cause exists, such as difficulty in continuously operating such window;
3. To post on a website the manner and procedure for requesting access if the personal information controller operates the website.

(4) "Period prescribed by Presidential Decree" in the former part of Article 35 (3) of the Act means 10 days.

(5) Where a personal information controller allows a data subject to access the relevant personal information within 10 days from the receipt of the Personal Information Access Request under paragraph (1) or (3), or limits access to the relevant person information under Article 42 (1), the personal information controller shall serve the data subject with the Access Notice, stating the accessible personal information, date and time, venue, etc. for access (in the case of partial access pursuant to Article 42 (1), the ground therefor and how to appeal shall be included), in the form prescribed by Notification of the Protection Commission: Provided, That where he or she allows immediate access, the Access Notice may be omitted.

Article 43 (Correction, and Erasure of Personal Information) (1) A data subject who intends to request a personal information controller to correct or erase his or her own personal information pursuant to Article 36 (1) of the Act shall submit a request in the

manner and following the procedure determined by the personal information controller. In such cases, Article 41 (2) shall apply mutatis mutandis where the personal information controller determines the manner and procedure for requesting the correction or erasure of personal information; and "access" shall be construed as "correction or erasure".

(2) Upon receipt of a request to correct or erasure personal information pursuant to Article 36 (1) of the Act, a personal information controller who processes personal information files provided by other personal information controller shall correct or erase the relevant personal information as requested; or shall, without delay, notify the personal information controller who has provided the relevant personal information of the request to correct or erasure the personal information, and take necessary measures based on the result of such processing.

(3) A personal information controller shall inform the relevant data subject of the fact that he or she has duly corrected or erased the relevant personal information pursuant to Article 36 (2) of the Act within 10 days from the receipt of a request to correct or erasure personal information under paragraph (1) or (2); otherwise, if the erasure of personal information is denied because it falls under the proviso of Article 36 (1) of the Act, the personal information controller shall serve the data subject with the Personal Information Correction or erasure Outcome Notice, stating the fact and grounds for the denial and how to appeal, in the form determined and publicly notified by prescribed by Notification of the Protection Commission.

Article 44 (Suspension of Processing Personal Information) (1) A data subject who intends to request a personal information controller to suspend the processing of his or her own personal information pursuant to Article 37 (1) of the Act shall submit a request in the manner and following the procedure determined by the personal information controller. In such cases, Article 41 (2) shall apply mutatis mutandis where the personal information controller determines the manner and procedure for requesting the suspension of processing personal information; and "access" shall be construed as "suspension of processing".

(2) A personal information controller shall inform the relevant data subject of the fact that it has duly suspended the processing of personal information pursuant to the main clause of Article 37 (2) of the Act within 10 days from the receipt of a request to suspend the processing of personal information made under paragraph (1); otherwise, if the suspension of processing personal information is denied because it falls under the proviso of Article 37 (2) of the Act, the personal information controller shall serve the relevant data subject with the Personal Information Processing Suspension Outcome Notice, stating the fact and grounds for the denial and how to appeal, in the form prescribed by Notification of the Protection Commission.

4 Legal Representatives of Children under 14

The PIPA requires personal information controllers to obtain and confirm consent of legal representatives when they process personal information of children under 14.

The age requirement for a child varies by jurisdictions. It is important to note that PIPA prescribes those under 14 as children.

Hence, foreign business operators need to be especially careful to not to collect children's personal information without legal representatives' consent when they provide goods or services to children; or provide goods or services that require collecting children's personal information.

Whether the goods or services provided by foreign business operators are targeting children or require collection of children's personal information can be decided based on the following factors: (i) whether the visual or auditory characteristics of how the services are delivered target children; (ii) whether models, characters, etc. featured on websites or mobile applications are designed to attract children; and (iii) whether most of the children can access and use the goods or services provided.

Foreign business operators must check how old the data subject is in order to confirm whether (s)he is a child or not when they provide aforementioned goods or services. It is recommended to check age of the data subject by letting him/her inserting birth date; or use identification services provided by Identification Service Agencies designated according to Article 23-3 of Act on Promotion of Information and Communications Network Utilization and Information Protection.

For reference, about identification services, they are provided through i-pin, cellular phone, credit card and accredited certificate. Business operators can select one of them based on characteristics of goods or services they have. Status of Identification Service Agencies and their services can be checked at identification service support portal (identity.kisa.or.kr).

< Article 22-2 of PIPA >

Article 22-2 (Protection of Children's Personal Information) (1) When the consent of a child under 14 years of age is required to process the personal information of such child, a personal information controller shall obtain the consent of his or her legal representative and confirm whether the legal representative has granted consent.

(2) Notwithstanding paragraph (1), information prescribed by Presidential Decree as minimum information necessary for obtaining the consent of a legal representative may be collected directly from the relevant child without consent of the legal representative.

(3) A personal information controller shall, when notifying a child under 14 years of age of matters relating to the processing of personal information, use such a form and such a clear and plain language that the child can easily understand.

(4) Except as provided in paragraphs (1) through (3), matters necessary for the methods of obtaining consent and of obtaining confirmation of consent, etc., shall be prescribed by Presidential Decree.

< Article 17-2 of Presidential Decree of PIPA >

Article 17-2 (Protection of Children's Personal Information) (1) A personal information controller shall confirm whether a legal representative has granted consent pursuant to Article 22-2 (1) of the Act by any of the following methods:

1. Requesting the legal representative to indicate whether to give consent on the website where matters requiring consent are posted, and informing him or her by mobile phone text message that the personal information controller confirms the indication of the consent;
2. Requesting the legal representative to indicate whether to give consent on the website where matters requiring consent are posted, and being provided with information on his or her card, such as a credit card or debit card;
3. Requesting the legal representative to indicate whether to give consent on the website where matters requiring consent are posted, and verifying the identity of the legal representative through identity verification on his or her mobile phone;
4. Issuing the legal representative a document specifying matters requiring consent, either in person or by mail or fax, and requesting him or her to submit the document after signing and affixing seal on it with respect to such matters;
5. Sending the legal representative an electronic mail that specifies matters requiring consent, and requesting him or her to send an electronic mail with consent indicated;
6. Notifying the legal representative of matters requiring consent by telephone to obtain consent, or providing him or her with information on the methods of

confirming matters requiring consent, such as via the Internet address, to obtain consent by telephone;

7. Other methods equivalent to those prescribed in subparagraphs 1 through 6 by which matters requiring consent are notified to the legal representative and an indication of his or her consent is confirmed.

(2) "Information prescribed by Presidential Decree" in Article 22-2 (2) of the Act means information on the name and contact details of a legal representative.

(3) Where it is impracticable for a personal information controller to indicate all matters requiring consent due to the characteristics of a medium by which personal information is collected, the personal information controller may provide a legal representative with information on the methods of confirming matters requiring consent, such as the Internet address or the telephone number of the place of business.

5 Cross-Border Transfer

Cross-border transfer of personal information means cross-border provision (including inquiry), entrusted processing, or storage.

The PIPA forbids cross-border transfer of personal information, but allows it in any one of these cases: (i) separate consent is obtained from the data subject; (ii) it is separately governed by statues or international treaties or conventions; (iii) it is necessary to entrust the processing and storage of personal information in order to conclude and perform a contract with the data subject; (iv) the recipient of personal information obtains certification determined and publicly notified by the PIPC; (v) the PIPC recognizes that the country or international organization to which the personal information is to be transferred has the equal level of personal information protection as in the PIPA in aspects of personal information protection system, the scope of guarantee of the rights of the data subject, and the procedures for damage relief, etc.

Foreign business operators need to comprehensively verify the legal basis of personal information processing for the goods or services they provide; relevant statutes and regulations; related certificates; whether country where personal information is to be transferred to has been recognized by the PIPC, etc. and then prepare for lawful ways of transferring personal information.

Particularly, personal information of employees in Korea branch (or office, etc.) may be unexpectedly transferred outside Korea when their personal information is processed by foreign business operators, so it is necessary to pay attention to how personal information of employees in Korea are processed.

Foreign business operators need to be careful that the PIPC can order to suspend their cross-border transfer of personal information in cases of they failing to comply with the PIPA such as: (i) their transfer does not fulfill condition(s) for allowed cross-border transfer; (ii) they fail to set up the prescribed protection measures; (iii) they fail to guarantee the prescribed rights of the data subjects.

When the recipient of the transfer tries to re-transfer personal information, the PIPA also applies to recipient of the re-transfer. When the personal information is re-transferred, therefore, it is necessary to be well aware of how personal information of the Korean Data Subjects are processed and make sure that PIPA is fully complied.

< Article 28-8 of PIPA >

Article 28-8 (Cross-Border Transfer of Personal Information) (1) No cross-border provision (including inquiry), entrusted processing, or storage (hereafter in this Section referred to as "transfer") of personal information shall be allowed by a personal information controller: Provided, that in any of the following cases, the cross-border transfer of personal information may be allowed:

1. Where separate consent is obtained from the data subject;
2. Where there are special provisions regarding the cross-border transfer of personal information in a statute, a treaty to which the Republic of Korea is a party, or other international conventions;
3. In any of the following cases where it is necessary to entrust the processing of personal information and to retain such personal information in order to conclude and perform a contract with the data subject:
   (a) Where the matters set forth in the subparagraphs of paragraph (2) are disclosed in the Privacy Policy provided in Article 30;
   (b) Where the matters provided in the subparagraphs of paragraph (2) are communicated to the data subject by means prescribed by Presidential Decree, such as electronic mail;
4. Where the recipient of personal information obtains certification determined and publicly notified by the Protection Commission, such as the certification of

personal information protection under Article 32-2, and takes all of the following measures:

(a) Safety measures necessary for protecting personal information and measures necessary for guaranteeing the rights of data subjects;

(b) Measures necessary for implementing certified matters in the country to which personal information is to be transferred;

5. Where the Protection Commission recognizes that the personal information protection system of the country or international organization to which the personal information is to be transferred, the scope of guarantee of the rights of the data subject, and the procedures for damage relief, etc. are substantially equal to the level of personal information protection under this Act.

(2) A personal information controller shall inform data subjects of the following matters in advance when obtaining consent under paragraph (1) 1:

1. Particulars of the personal information to be transferred;
2. The country to which the personal information is transferred, transfer date, and method;
3. Name of the recipient of personal information (referring to the name of a corporation and the contact information of the corporation, if the recipient is a corporation);
4. The purpose of using personal information by the recipient of personal information and the period of retention and use of personal information;
5. The method and procedure for refusing the transfer of personal information and the effect of such refusal.

(3) A personal information controller that intends to change the matters provided in any subparagraph of paragraph (2) shall inform a data subject of such change and obtain the data subject's consent thereto.

(4) A personal information controller shall comply with other provisions of this Act and Articles 17 through 19 and Chapter V of this Act, which are related to the cross-border transfer of personal information, and shall take protective measures prescribed by Presidential Decree, where it makes cross-border transfers of personal information pursuant to the proviso, with the exception of the subparagraphs, of paragraph (1).

(5) A personal information controller shall not enter into a contract for cross-border transfers of personal information containing terms and conditions that are in violation of this Act.

(6) Except as provided in paragraphs (1) through (5), matters necessary for the criteria and procedures for the cross-border transfer of personal information, etc. shall be prescribed by Presidential Decree.

< Article 29-8 of Presidential Decree of PIPA >

Article 29-8 (Certification of Cross-Border Transfer of Personal Information) (1) Where the Protection Commission intends to publicly notify certification under the provisions, with the exception of the items, of Article 28-8 (1) 4 of the Act, it shall complete all of the following procedures:

1. Evaluation by an institution specializing in certifying personal information protection under Article 34-6;
2. Evaluation by an expert committee for cross-border transfer of personal information under Article 5 (1) 1 (hereinafter referred to as "expert committee for cross-border transfer");
3. Consultation with the Policy Council.

(2) When the Protection Commission publicly notifies certification under the provisions, with the exception of the items, of Article 28-8 (1) 4 of the Act, it may determine and publicly notify its effective period of up to five years.

(3) Except as provided in paragraphs (1) and (2), matters necessary for the procedures, etc. for publicly notifying certification shall be determined and publicly notified by the Protection Commission.

6 Coverage of Liabilities for Damages

A data subject who suffers damage due to a foreign business operator's violation of the PIPA such as a data divulgence/breach is entitled to seek damages against such foreign business operator.

Foreign business operators meeting the criteria set forth in the Presidential Decree of the PIPA, which considers factors such as sales revenue and the volume of personal information retained, need to take necessary measures such as purchasing insurance, joining a mutual aid organization, or setting aside reserves on a per-service (or goods) provider basis to meet its potential liabilities for damages.

For example, if headquarters located outside Korea and branch office inside Korea are each separately providing services to Korean Data Subjects, both the headquarters and the branch must respectively assess their user number and revenue. If they are deemed liable for compensating potential damages, they should either secure insurance coverage or make reserves.

However, if the insurance or mutual aid organization purchased or joined by the

headquarters includes liability for breaches of the PIPA in the goods or services provided by the branch in Korea, it would not be necessary for the Korea branch to separately subscribe to insurance or join mutual aid organization.

In addition, it is not mandatory for foreign business operators to subscribe to insurance or join mutual aid organization provided by Korean entities, but if they opt for insurance or join mutual aid organization in another country, liability for damages under the PIPA need to be included in coverage scope.

< Article 39 and 39-7 of PIPA >

Article 39 (Liability for Damages) (1) A data subject who suffers damage by reason of a violation of this Act by a personal information controller is entitled to claim compensation from the personal information controller for such damage. In such cases, the said personal information controller may not be released from responsibility for compensation if it fails to prove the absence of intention or negligence.

(3) Where a data subject suffers damage out of loss, theft, divulgence, forgery, alteration, or damage of his or her own personal information, caused by intention or negligence of a personal information controller, the Court may determine the amount of compensation for damage not exceeding five times such damage: Provided, That the same shall not apply to the personal information controller who has proved the absence of intention or negligence.

(4) The Court shall take into account the following when determining the amount of compensation for damage under paragraph (3):

1. The degree of intention or expectation of damage;
2. The amount of loss caused by the violation;
3. Economic benefits the personal information controller gained in relation to the violation;
4. A fine and a penalty surcharge to be levied subject to the violation;
5. The duration, frequency, etc. of violations;
6. The property of the personal information controller;
7. The personal information controller's efforts to retrieve the affected personal information after the loss, theft, or divulgence of personal information;
8. The personal information controller's efforts to remedy damage suffered by the data subject.

Article 39-7 (Coverage of Liabilities for Damages) (1) A personal information controller that meets the criteria prescribed by Presidential Decree in consideration of sales and the scale of personal information retained shall take necessary measures such as

purchasing insurance or joining a mutual aid organization or accumulating reserves to meet its liabilities for damages under Articles 39 and 39-2.

(2) Notwithstanding paragraph (1), any of the following need not take measures provided in paragraph (1):

1. A public institution, non-profit corporation, or organization prescribed by Presidential Decree;
2. A person who entrusts the processing of personal information to a person prescribed by Presidential Decree, who is a micro enterprise defined in Article 2 (1) of the Framework Act on Micro Enterprises;
3. A personal information controller that has purchased insurance or joined a mutual aid organization, or accumulated reserves pursuant to other statutes to cover liabilities for damages under Articles 39 and 39-2.

(3) Matters necessary for the criteria for meeting liabilities for damages, etc. under paragraphs (1) and (2) shall be prescribed by Presidential Decree.

< Article 48-7 of Presidential Decree of PIPA >

Article 48-7 (Scope, and Standards of the Parties Required to Purchase an Insurance for Performance of Damage Compensation Responsibilities) (1) In Article 39-7 (1) of the Act, "a person who meets the standards prescribed by Presidential Decree" means a person who meets all of the following requirements (hereinafter referred to as "the Subject Personal Information Controller").

1. The sales, etc. of the previous year (in the case of a corporation, it means the previous business year) shall be 1 billion KRW or more;
2. As of the end of the previous year, the number of data subjects whose personal information has been stored and managed for the immediately preceding 3 months (excluding data subjects falling under Article 15-3 (2) 2; hereinafter the same shall apply in this Article) shall be 10,000 or more per day on average.

(2) In Article 39-7 (2) 2 of the Act, "public institutions, non-profit corporations, and organizations prescribed by Presidential Decree" means to the following institutions.

1. Public institutions: Provided, that public institutions falling under the subparagraphs of the Article 32 (4) of the Presidential Decree;
2. Public interest corporation under the Article 2 of the Act on The Establishment and Operation of Public Interest Corporations;
3. Organizations registered under the Article 4 of The Non-Profit, Non-Governmental Organization Support Act.

(3) In Article 39-7 (2) 2 of the Act, "a person who prescribed by Presidential Decree" means a person who meets all of the following requirements.

1. A person entrusted with the storage and management of personal information by a micro enterprise under the Article 2 (1) of Framework Act on Micro Enterprises

to prevent personal information from being lost, stolen, leaked, falsified or damaged;

2. A person who has taken necessary measures, such as purchasing insurance or, joining a mutual aid organization or accumulating reserves, to guarantee the performance of liability for damages under the Articles 39 and 39-2 of the Act for business entrusted pursuant to subparagraph 1.

(4) The standards for the minimum insurance subscription amount (referring to a minimum reserve amount in cases of accumulating reserves; hereafter in this Article the same shall apply) applicable to the Subject Personal Information Controllers in cases of purchasing insurance, joining a mutual aid organization or accumulating reserves shall be as set forth in attached Table 1-4: Provided, that if any Subject Personal Information Controller purchases insurance or joins a mutual aid organization, and accumulates reserves at the same time, the sum of the insured or mutual aid amount and reserves shall be equal to or exceed the minimum insurance subscription amount set forth in attached Table 1-4.

7 Dispute Mediation for Personal Information

If a foreign business operator causes damage related to personal information to Korean Data Subjects through personal information breach, etc., the affected Korean Data Subjects may file for dispute mediation with the Personal Information Mediation Committee ("Dispute Mediation Committee") against the foreign business operator.

Once filed, the foreign business operator must participate in the dispute mediation unless there is a compelling reason not to do so.

The Dispute Mediation Committee may request the foreign business operator to provide materials necessary to mediate the dispute. It also may enter the places related to the case for investigating or accessing the relevant data.

If the Disputing party presented with the proposal of mediation does not inform the Dispute Mediation Committee in 15 days after the date the proposal was presented whether it accepts the proposal or not, the Disputing party is deemed to have accepted the proposal. Hence, if the foreign business operator does not want to accept the proposal presented, it needs to inform the Dispute Mediation Committee in 15 days.

< Article 43 and 45 of PIPA >

Article 43 (Application for Mediation) (1) Any person who wishes a dispute over personal information mediated may apply for mediation of the dispute to the Dispute Mediation Committee.
(2) Upon receipt of an application for dispute mediation from a party to the case, the Dispute Mediation Committee shall notify the counterparty of the application for mediation.
(3) Where a personal information controller is notified of dispute mediation under paragraph (2), he or she shall respond to it unless there is a compelling reason not to do so.

Article 45 (Requests for Materials and Fact-Finding Investigation) (1) Upon receipt of an application for dispute mediation pursuant to Article 43 (1), the Dispute Mediation Committee may request disputing parties to provide materials necessary to mediate the dispute. In such cases, such parties shall comply with the request in the absence of good cause.
(2) Where it is necessary to verify facts for the mediation of a dispute, the Dispute Mediation Committee may require members of the Dispute Mediation Committee or public officials belonging to the secretariat prescribed by Presidential Decree to enter the place related to the case and to investigate or inspect relevant data. In such cases, where any party to the relevant dispute has good cause for refusing the relevant investigation or inspection, he or she may refuse the investigation or access by explaining such grounds therefor.
(3) A public official who performs his or her duties pursuant to Article 2 shall carry identification verifying his or her authority and present it to relevant persons.
(4) If deemed necessary to mediate a dispute, the Dispute Mediation Committee may request relevant agencies, etc. to provide necessary cooperation, such as the submission of materials or opinions.
(5) The Dispute Mediation Committee may summon disputing parties or relevant witnesses to appear before the Committee to hear their opinions, if deemed necessary.

8 Entrustment of Personal Information Processing

The PIPA separately regulates providing personal information to a third party and sharing it with a third party by 'providing the personal information' and 'entrusting the personal information processing'.

According to decisions by Korean courts, "the provision of personal information to a third party" means a transfer of personal information for the interests and business of the transferee beyond the scope of the original collection and use of such personal information, while "the entrustment of personal information processing" means a transfer of personal information for the interests and business of the transferor relating to the original purposes of collection and use of such personal information.

For instance, a foreign business operator transfers personal information to a third party in order to perform its obligations under an agreement with the data subjects in connection with provision of goods or services to the data subjects, such transfer can be deemed as entrustment of personal information processing. In this case, the foreign business operator can be held liable for the damages to the data subjects.

On the contrary, if a foreign business operator transfers personal information to a third party beyond the scope of the agreement with the data subject or to provide services that connect the data subject with a third party beyond the scope of the agreement with the data subjects, such transfer can be deemed provision of personal information to a third party. In this case, the foreign business operator must have a valid legal basis for providing personal information to a third party.

In the case of a person entrusted independently operating personal information processing system for performing entrusted works, (s)he is responsible for the obligation to take protection measures and the personal information controller that has entrusted the work is liable for supervising the person entrusted through training, inspecting how personal information is processed, etc. to make sure secure processing of such personal information.

As the PIPA applies *mutatis mutandis* to the person entrusted, (s)he can be penalized for his/her violation of the PIPA. In this case, it is important to note that if a personal information controller who entrusted works is deemed to have been negligent in his/her obligation to supervise the person entrusted, (s)he can also be penalized for the violation of his/her obligation.

< Article 26 of PIPA >

Article 26 (Restriction on Personal Information Processing Subsequent to Entrustment of Work) (1) A personal information controller shall, when entrusting the processing of personal information to a third party, do so in a document that states the following:

1. Prevention of personal information processing for other purposes than performing the entrusted work;
2. Technical and managerial safeguards of personal information;
3. Other matters prescribed by Presidential Decree to ensure safe management of personal information.

(2) A personal information controller who entrusts the processing of personal information pursuant to paragraph (1) (hereinafter referred to as "person entrusting") shall disclose the details of the entrusted affairs and the entity that processes personal information (including a third party re-entrusted from a person entrusted with the processing of personal information; hereinafter referred to as "person entrusted") in the manner prescribed by Presidential Decree so as to be easily recognizable by data subjects at any time.

(3) The person entrusting shall, in case of entrusting the promotion of goods or services, or soliciting of sales thereof, notify data subjects of the entrusted work and the person entrusted in the manners prescribed by Presidential Decree. The same shall apply where the entrusted work or the person entrusted has been changed.

(4) The person entrusting shall educate the person entrusted so that personal information of data subjects may not be lost, stolen, divulged, forged, altered, or damaged owing to the outsourcing of work, and supervise how the person entrusted processes such personal information safely by inspecting the status of processing, etc., as prescribed by Presidential Decree.

(5) A person entrusted shall not use any personal information beyond the scope of the work entrusted by the personal information controller, nor provide personal information to a third party.

(6) A person entrusted shall, when he or she intends to re-entrust the processing of entrusted personal information to a third party, obtain consent from the person entrusting.

(7) With respect to liability for damages arising out of the processing of personal information entrusted to a person entrusted in violation of this Act, the person entrusted shall be deemed an employee of the personal information controller.

(8) Articles 15 through 18, 21, 22, 22-2, 23, 24, 24-2, 25, 25-2, 27, 28, 28-2 through 28-5, 28-7 through 28-11, 29, 30, 30-2, 31, 33, 34, 34-2, 35, 35-2, 36, 37, 37-2, 38, 59, 63, 63-2, and 64-2 shall apply *mutatis mutandis* to outsourcees. In such cases, "personal information controller" shall be construed as "person entrusted".

< Article 28 of Presidential Decree of PIPA >

Article 28 (Measures to be Taken when Entrusting Personal Information Processing) (1) "Matters prescribed by Presidential Decree" in Article 26 (1) 3 of the Act means the following:

1. The purpose and scope of entrusted work;
2. Matters concerning limitation to re-entrustment;
3. Matters concerning measures to ensure safety, including limitation to access to personal information;
4. Matters concerning supervision and inspection of the status of management of personal information retained in relation to entrusted work;
5. Matters concerning liability, such as compensation for damages caused by a breach of contractual obligations on the part of a person entrusted under Article 26 (2) of the Act (hereinafter referred to as "person entrusted").

(2) "Manner prescribed by Presidential Decree" in Article 26 (2) of the Act means the method wherein a personal information controller that has entrusted personal information processing (hereinafter referred to as "person entrusting") continuously posts details of the entrusted work and the person entrusted on its website.

(3) Where it is impossible to post on the website as prescribed in paragraph (2), the entrusted work and the person entrusted shall make public in one or more of the following manners:

1. Posting at easily noticeable places such as workplace of a person entrusting;
2. Publishing in the Official Gazette (only where the person entrusting is a public institution) or a general daily newspaper, weekly newspaper, or online newspaper, as defined in subparagraphs 1 (a) and (c) and 2 of Article 2 of the Act on the Promotion of Newspapers which mainly covers the City/Do where the person entrusting's workplace, etc. is located;
3. Publishing at a periodical, newsletter, PR magazine, or invoice to be published under the same title at least twice annually and distributed to data subjects on a continual basis;
4. Stipulating in an agreement, etc. for the supply of goods and services executed between the person entrusting and the data subjects and providing a copy of the same to the data subjects.

(4) "Manners prescribed by Presidential Decree" in the former part of Article 26 (3) of the Act means in writing, etc.

(5) Where a person entrusting is unable to inform the data subjects of the entrusted work and the person entrusted in the manner stated in paragraph (4) without its negligence, the person entrusting shall post the relevant matters on its website for at least 30 days: Provided, that a person entrusting who has no website shall post them at easily noticeable places of its workplace, etc. for at least 30 days.

(6) Where a person entrusted processes personal information, the person entrusting

shall supervise whether the person entrusting complies with the obligations of a personal information controller provided for in the Act and this Decree and the matters referred to in Article 26 (1) of the Act, pursuant to Article 26 (4) of the Act.

9 Domestic Agent

A foreign business operator with no address or place of business in Korea shall designate a domestic agent if the sales[10] or the volume of personal information retained[11] exceed certain thresholds or where a foreign business operator is requested to provide information by the PIPC and the PIPC deliberates and resolves that such foreign business operator needs to designate a domestic agent.

The presence or absence of a place of business in Korea can be determined by considering how domestic citizen' complaints relating to personal information are handled, how regulations are enforced when personal information infringement is reported, etc. Even if a foreign business operator establishes an independent corporation in Korea, if the corporation is not a personal information controller, the foreign business operator has 'no address or place of business in Korea.'

If a foreign business operator with the obligation to designate a domestic agent has established a domestic corporation or if there is a local corporation upon which the foreign business operator exercises dominant influence regarding the composition of executive officers and business operation, it is advisable to designate that corporation as the domestic agent.

(1) A natural person or (2) a corporation with an address or place of business in Korea qualifies as a domestic agent, and in the case of a natural person, the agent is not required to be of Korean nationality. However, the agent must be able to fluently communicate in Korean language, as the agent must handle domestic citizens' complaints related to personal information and submit accurate information and materials to regulatory government agencies.

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10) "Sales" refers to total sales generated by that business operator worldwide, including sales generated in the Republic of Korea, and based on the amount converted to Korean won by applying the average exchange rate for the previous year (referring to the previous business year in case of a corporation).;

11) Refers to a foreign business operator that stores and processes, on daily average, the personal information of at least one million domestic data subjects for the immediately preceding three months(1 October~31 December, 92days) as of the end of the previous year.

The domestic agent shall be designated in writing, and the name (in cases of a corporation, referring to its name and the name of its representative), address (in cases of a corporation, referring to the location of a business office), telephone number, and e-mail address of the domestic agent must be included in the Privacy Policy of the foreign business operator. If multiple domestic agents are designated, relevant information of all domestic agents must be included in the Privacy Policy, and if there is a change regarding the designated domestic agent, the Privacy Policy must be revised without delay.

The telephone number disclosed in the Privacy Policy shall be a domestic number. It does not necessarily have to be a personal phone number such as the mobile phone number of the domestic agent but must be contact information through which grievances and consultation related to the protection of personal information can be handled.

The domestic agent shall perform the duties as a personal information controller on behalf of the foreign business operator such as handling grievances and a remedy for damage, etc. in relation to personal information processing. Also, the domestic agent may notify data subjects in case of loss, theft, or divulgence of personal information and report with respect to divulgence, etc. of personal information.

When a domestic agent is requested by the PIPC to submit relevant items, materials, etc., the agent must promptly proceed with the procedures required by laws and regulations on behalf of the foreign business operator. Therefore, the foreign business operator must promptly provide the necessary information for the smooth performance of the domestic agent's duties.

Korean Data Subjects' complaints or remedial procedures relating to personal information processing shall be handled in a practical manner. Thus, if only recorded messages instructing users to use e-mail or online forms for damage relief are provided rather than having employees respond, or if employees are unable handle complaints or remedial procedures relating to personal information processing, it is difficult to say that a domestic agent has been appointed to represent the privacy officer of personal information protection controller.

<Article 31-2 of the PIPA>

Article 31-2 (Designation of Domestic Agents) (1) A personal information controller with no address or place of business in the Republic of Korea who is prescribed by Presidential Decree in consideration of the sales, the scale of personal information retained, and other factors shall designate a person who acts as an agent for the following (hereinafter referred to as "domestic agent"). In such cases, the domestic agent shall be designated in writing:

1. Work of a privacy officer under Article 31 (3);
2. Notification and reporting of the personal data under Article 34 (1) and (3);
3. Submission of materials such as articles and documents under Article 63 (1).

(2) A domestic agent shall have an address or business office in Korea.

(3) The personal information controller shall include the following in the Privacy Policy if he or she designates a domestic agent pursuant to paragraph (1):

1. Name of the domestic agent (in cases of a corporation, referring to its name and the name of its representative);
2. Address (in cases of a corporation, referring to the location of a business office), telephone number, and e-mail address of the domestic agent.

(4) If a domestic agent violates this Act in relation to the subparagraphs of paragraph (1), the personal information controller shall be deemed to have committed such a violation.

<Article 32-3 of the Presidential Decree of the PIPA>

Article 32-3 (Scope of Those to Be Designated as Domestic Agents) (1) "Who is prescribed by Presidential Decree" in the former part, with the exception of the subparagraphs, of Article 31-2 (1) of the Act means any of the following persons:

1. A person whose total sales for the previous year (referring to the previous business year in the case of a corporation) is at least one trillion won;
2. A person who has an average of at least one million domestic data subjects whose personal information is stored and managed for the immediately preceding three months as of the end of the previous year;
3. A person who is requested to submit relevant materials, such as articles and documents, pursuant to Article 63 (1) of the Act and for whom the Protection Commission deliberates and resolves on the need to designate a domestic agent.

(2) The total sales under paragraph (1) 1 shall be based on the amount converted into Korean won by applying the average exchange rate for the previous year.

10 Investigation and Preliminary Fact-Finding Inspections

The PIPC may investigate foreign business operators under the scope of the PIPA where any violation of the PIPA is found or suspected, any violation of the PIPA is reported or a civil complaint thereon is received, or in circumstances in which a case or incident which infringes on data subject's right or interest related to personal information has occurred or is likely to occur.

Also, the PIPC may inspect the status of protection of personal information where there is a high risk of personal information breach incident and a preliminary inspection of vulnerabilities is deemed necessary.

The PIPC may request relevant materials, such as articles and documents from a foreign business operator. The Commission may require its public official to enter the offices or place of business of the foreign business operator to request statement from representatives, agents, other executives, employees, etc. or to inspect the status of business operations, ledgers, documents, etc. in the presence of such related personnel. Such related personnel may be required to appear before the Commission and make a statement if necessary.

A foreign business operator may have an attorney-at-law participate in the investigation process. However, such participation may be restricted if the request for such participation is deemed to delay or hinder the initiation and progress of the investigation, if the attorney intervenes in the investigation process without the investigator's approval or makes abusive language or actions, etc., if the attorney answers on behalf of an a the foreign business operator or induces a specific answer or reversal of a statement, or if the attorney films, records, or transcribes the interrogation process beyond simply taking notes for memory purposes necessary to provide legal advice, or in other cases the attorney makes it significantly difficult to achieve the purpose of the investigation.

Therefore, foreign business operators subject to investigation or personal information protection status inspection by the PIPC must designate a person-in-charge from among executives and employees. The designated person-in-charge must be capable of responding to and taking overall responsibility over the investigation and/or inspection and shall be familiar with the facts of each specific case. The contact information of the designated person-in-charge must be

provided to the Commission.

In principle, foreign business operators must provide material and documents in the Korean language in response to the PIPC's request for such submission. If necessary, foreign business operators shall visit the Commission to explain details regarding such material and documents. To this end, foreign business operators may request assistance from the executive or employee of a local subsidiary or a Korean corporation upon which the foreign business operator exercises dominant influence, or from a Korean attorney-at-law.

However, in the process of investigation by the PIPC, any action by executives, employees of a Korean corporation or Korean attorney that goes beyond simply assisting the foreign business operator and goes so far as to avoiding or distorting the facts or making legal claims unrelated to the determination of the facts, can be considered as action that delaying or hindering the investigation. Thus, foreign business operators shall be cautious when requesting assistance from a Korean corporation or Korean attorney.

For reference, if the PIPC confirms that a personal information controller has violated the PIPA in the process of its investigation, the Commission will provide a preliminary notice to the foreign business operator containing the facts and contents of the expected administrative disposition that shall be imposed upon that foreign business operator, and the applicable laws and regulations. Foreign business operators can make their defense arguments by submitting opinions or making statements related to the PIPA with the assistance from executives, employees of a Korean corporation or Korean attorney.

<Article 63, 63-2 of the PIPA>

Article 63 (Requests for Materials and Inspections) (1) The Protection Commission may request relevant materials, such as articles and documents, from a personal information controller in any of the following cases:

1. Where any violation of this Act is found or suspected;
2. Where any violation of this Act is reported or a civil complaint thereon is received;
3. In cases prescribed by Presidential Decree where it is necessary to protect the personal information of data subjects.

(2) Where a personal information controller fails to furnish materials pursuant to

paragraph (1) or is regarded as having violated this Act, the Protection Commission may require its public official to enter the offices or places of business of the personal information controller and other persons related to such violation to inspect the status of business operations, ledgers, documents, etc. In such cases, the public official who conducts the inspection shall carry identification verifying his or her authority and show it to relevant persons.

Article 63-2 (Preliminary Fact-Finding Inspections) (1) In cases not falling under the subparagraphs of Article 63 (1), the Protection Commission may inspect the status of protection of personal information of a personal information controller that is highly susceptible to a personal information breach incident and deemed to need a preliminary inspection of vulnerabilities in the protection of personal information.
(2) The Protection Commission may, if it finds any violation of this Act through a fact-finding inspection under paragraph (1), formulate a correction scheme and recommend that the relevant personal information controller comply with it.
(3) Upon receipt of the recommendation for correction under paragraph (2), a personal information controller shall notify the Protection Commission as to whether it accepts the recommendation within 10 days from the date of receipt of the recommendation, and inform the Protection Commission of the results of the implementation thereof, as prescribed by Notification of the Protection Commission.

<Regulation on the investigation and disposition of the Protection Committee Article 10, 13>

Article 10 (On-site investigation) (1) If necessary for the investigation of a case, the investigator shall enter the office or place of business (hereinafter referred to as "office, etc.") of the subject of investigation to interrogate or the representative, agent, other executives and employees, etc. (hereinafter referred to as "related persons"). The investigator may investigate the business situation, ledgers, documents, and other data or items in the presence of the related person and request the submission of the relevant data or items.

Article 13 (Participation of Attorney) (1) If there is a request from the subject of investigation, the investigator must, in principle, allow an attorney appointed by the subject of investigation participate in the investigation process. However, this does not apply in any of the following cases.

1. If the request for participation of an attorney by the subject of investigation is considered to have the purpose of delaying or hindering the initiation and progress of the investigation
2. If the attorney intervenes in the investigation process without the investigator's

approval or makes abusive language or actions When interfering with the investigation or using insulting words or actions without the investigator's approval
3. If the attorney answers on behalf of the foreign business operator or induces a specific answer or reversal of a statement
4. If the attorney films, records, or transcribes the interrogation process beyond simply taking notes for memory purposes necessary to provide legal advice
5. Other cases the attorney makes it significantly difficult to achieve the purpose of the investigation.

(2) Notwithstanding paragraph 1, if the investigation is urgent due to concerns about destruction of evidence, etc., the investigation may be initiated and conducted regardless of the request for the participation of an attorney.

11 Corrective measures and Penalty Surcharges, etc.

The PIPC may order a foreign business operator found to have violated the PIPA to stop personal information breach, to temporarily suspend personal information processing, to take other measures necessary to protect personal information and to prevent infringement of personal information. The Commission may also recommend that a personal information controller improve the status of personal information processing.

The PIPC may impose a penalty surcharge within the scope not exceeding 3/100 of the total sales or impose an administrative fine, make a criminal referral to the competent investigative agency, or recommend a disciplinary action against the foreign business operator, or its representative, etc. Where the Commission makes administrative dispositions, it may publish the facts regarding such disposition or order the foreign business operator who has received such disposition to publish the fact of receiving such disposition.

Accordingly, to ensure the effectiveness of corrective measures imposed upon foreign business operators and to protect the personal information of Korean Data Subjects, the PIPC may take measures such as blocking access to goods or services of foreign businesses entities found to be violating the PIPA or blocking the distribution of certain applications or the connection with other goods and services. Also, the Commission may request cooperation from internet service providers, app store operators, and other related businesses in relation to such

measures.

Where the PIPC imposes a penalty surcharge upon a foreign business operator, 'total sales' stipulated in the PIPA does not only refer to sales generated in the Republic of Korea, but also refers to global sales generated by the foreign business operator when it provides goods and services. However, the PIPC calculates the penalty surcharge based on sales excluding sales that are not related to violations from total sales. In this case, the foreign business operator is responsible for proving the amount of sales that is not related to the violation.

Foreign business operators may submit data necessary for the calculation of total sales to the PIPC, such as data regarding the sales unrelated to violation of the PIPA, which shall be excluded from total sales when calculating the penalty surcharge. Where the foreign business operator refuses to submit data necessary for the calculation of total sales or submits false information, the amount of total sales shall be used as a basis for calculating the penalty surcharge.

For reference, where violation of the PIPA committed by the foreign business operator or the results of illegally processing personal information of Korean Data Subjects affect the overall goods or services provided by the foreign business operator around the world, and relevant sales occurs globally, the such relevant sales can be considered to be sales related to the violation.[12)]

<Article 61, 64, 64-2of the PIPA>

Article 61 (Presentation of Opinions and Recommendations for Improvement) (2) The Protection Commission may advise a personal information controller to improve the status of personal information processing where doing so is deemed necessary to protect personal information. In such cases, upon receiving the advice, the personal information controller shall make sincere efforts to comply with the advice, and shall inform the Protection Commission of the results.

Article 64 (Corrective Measures) (1) The Protection Commission may order a person who violates this Act (excluding central administrative agencies, local governments, the National Assembly, the Court, the Constitutional Court, and the National Election

12) If a foreign business operator provides an online service and trains the artificial intelligence model of the service by collecting the personal information of users, including Korean Data Subjects, and uses it for services targeting the world, it cannot be considered the sales related to violations are limited to sales in Korea.

Commission) to take the following measures:
1. To suspend personal information breach;
2. To temporarily suspend personal information processing;
3. Other measures necessary to protect personal information and to prevent personal information infringement.

Article 64-2 (Imposition of Penalty Surcharges) (1) The Protection Commission may impose a penalty surcharge on the relevant personal information controller within the scope not exceeding 3/100 of the total sales, in any of the following cases: Provided, that a penalty surcharge not exceeding two billion won may be imposed in cases prescribed by Presidential Decree where no sales have been made or where it is impracticable to calculate the sales: (…)

(2) Where the Protection Commission intends to impose a penalty surcharge under paragraph (1), it shall calculate the penalty surcharge based on the gross sales net of the sales unrelated to the violation.

(3) Where the Protection Committee intends to impose a penalty surcharge pursuant to paragraph (1), it may calculate the sales based on the gross sales of the personal information controller if the personal information controller refuses to submit sales calculation data or submits false data without good case: Provided, That it may presume sales based on the scale of personal information retained, accounting data such as financial statements, prices of products and services, and other data regarding the business state of a personal information controller with a size similar to that of the relevant personal information controller.

Appendix 1 Reporting of Divulgence of Personal Information Form

Reporting of Divulgence of Personal Information		
Reporting Organization		
Type of Reporting Organization	☐ Institution / ☐ General Business / ☐ Other	
Notification to Data Subjects	☐ Notified / ☐ Not Notified	
Reporting Criteria	☐ divulgence, etc. of personal information of at least 1,000 data subjects ☐ divulgence, etc. of sensitive information ☐ divulgence, etc. of personally identifiable information ☐ divulgence, etc. of personal information occurs due to illegal external access to personal information processing systems or information technology equipment used by personal information handlers for processing personal information ☐ Other (Cases where reports are submitted before the specific details of the divulgence and reporting criteria are confirmed, etc.)	
Reporting Person	Name	
	Contact	
	E-mail	
Corporation Number		
Business Registration Number		
Address (As Registered)		
Website Address		
Particulars of divulged personal information and scale of divulgence		

When and how divulgence occurred				
Countermeasures taken by the personal information controller to minimize the risk of damage and results				
How the data subjects can minimize the risk of damage and seek remedy				
Department and Person in Change and Contact Information				
Privacy Officer	Name		Department	
	Position		Contact Information	
	E-mail			
Personal Information Handler	Name		Department	
	Position		Contact Information	
	E-mail			

Appendix 2 Request form for access to personal information

■ Notice on personal information processing methods [Form 8]

Request for access to personal information

Please read the instructions below and only fill out the information inside the bold lines.

(front page)

Registration Number	Date of receipt	Processing period within 10 days

Data Subject	Name	Telephone Number
	Date of Birth	
	Address	
Representative	Name	Telephone Number
	Date of Birth	Relationship with Data Subject
	Address	
Request Information	[ ] Particulars and substance of personal information [ ] The purpose of collecting and using personal information [ ] The period for retaining and using personal information [ ] Status of personal information provided to a third party [ ] The fact that the data subject has given consent to the processing of his or her personal information and the content thereof	

I hereby request for the above pursuant to Article 35 (2) of the Personal Information Protection Act and Article 41(3) of the Enforcement Decree.

Year Month Day

Requesting Person (signature or seal)

Personal Information Protection Commission

Instructions
1. Only fill out the 'representative' form where the representative is the requesting party.
2. For 'request information', check [v] all items you wish to access. Items not checked will be treated as if you have not requested to access the item.

Appendix 3 Access, Partial Access, Access Postponement, Access Denial Notice

■ Notice on personal information processing methods [Form 9]

([ ]Access, [ ]Partial Access, [ ]Access Postponement, [ ]Access Denial) Notice of Personal Information

(front page)

Recipient (Postal code , Address)

Request Information			
Date and Time of Access		Venue for access	
Content of Notice **([ ]Access, [ ]Partial Access, [ ]Access Postponement, [ ]Access Denial)**			
Form and method of access	Form	[ ] View Copy, [ ] Printout, [ ]Electronic File, [ ] Reproduction Print [ ] ETC	
	Method	[ ] Direct Visit [ ]Post [ ] Fax [ ] e-mail [ ] ETC	
Payment amount	1 fee	2 postage	total (1+2)
	Fee calculation details		
Grounds for decision			
How to appeal	The personal information controller shall provide information on how the data subject can file an objection.		
Grounds for decision			
How to appeal	The personal information controller shall provide information on how the data subject can file an objection.		

Pursuant to Article 35 (3), (4) or (5) of the Personal Information Protection Act and Article 41 (5) or Article 42 (2) of the Enforcement Decree, we hereby serve the data subject with a notice regarding your request for access to personal information as above.

Year Month Day

Sender's name (official seal)

Appendix 4 Personal Information Correction and Erasure, Processing Suspension Outcome Notice

■ Notice on personal information processing methods [Form 10]

Personal Information [ ] Correction and Erasure,
[ ] Processing Suspension Outcome Notice

(front page)

Recipient (Postal code , Address)

Request Information	
Measures Taken for [ ] Correction and Erasure [ ] Suspension of Processing	
Grounds for Decision for [ ] Correction and Erasure [ ] Suspension of Processing	
How to appeal	The personal information controller shall provide information on how the data subject can file an objection.

Pursuant to Article 36 (6) of the Personal Information Protection Act and Article 43(3) of the Enforcement Decree, or Article 37(6) of the Act and Article 44(2) of the Enforcement Decree, we hereby serve the data subject with a notice regarding the outcome of your request for correction and erasure, or the suspension of processing of personal information as above.

Year Month Day

Sender's name (official seal)

Notice
Data subjects may file an objection when served with a notice regarding the outcome of the request for correction and erasure, or the suspension of processing of personal information, pursuant to the method written in 'how to appeal'.

Guidelines on Applying the Personal Information Protection Act to Foreign business operators

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- Supported by Korea Internet & Security Agency

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This guideline is current as of March 2024.
For the most up-to-date information on privacy laws, please visit the Personal Information Protection Commission's website(www.pipc.go.kr), Korean Law Information Center's website(law.go.kr).